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Advancing operational excellence for social good

2 CFR 200

Cost share
Program income
Budget revisions
Property standards

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Cost Share and Matching

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What is Cost Share/Matching?

2 CFR 200.1 Definitions

Cost Sharing or Matching is the portion of project costs not paid by the US Government

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Cost Sharing or Matching Criteria

200.306.b

Contributions will be accepted if they are:

- Verifiable from your records
- Not included in another US Government award
- Necessary and reasonable for proper and efficient accomplishment of objectives
- Allowable under the cost principles
- Not paid by another US Government award
- Provided for in an approved cost share budget

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Cost Sharing or Matching

200.306 c – j
700.10

- Unrecovered indirect costs are allowable with prior approval
- Basis for value of cost share must be documented.
  - ✓**Volunteer services:** value should be consistent with similar paid work
  - ✓**Supplies**: fair market value
  - ✓**Equipment/buildings/land:** fair rental value or fair market value, if it meets project objectives

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Cost Sharing or Matching Standard Provisions

- If cost share is not met, Agreement Officer can:
  - ✓Require refund of difference
  - ✓Decrease amount of federal share
- Source/nationality requirements do not apply to cost share

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Cost Share Key Points and Best Practices

- If award contains cost share, it is a legal requirement
- ALL cost share must meet ALL criteria
- Fair market value used for volunteer services and donated supplies and equipment
- Penalties for not meeting cost share can be costly
- Have a system to track cost share compliance
- Better to overachieve for cost share in case some is disallowed

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Program Income

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Program Income

200.1

Definition: 2 CFR 200.1

Program income means gross income earned by the non-federal entity that is directly generated by a supported activity or earned as a result of the federal award during the period of performance

- 3 options for using program income (PI): deductive, additive or cost share

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Program Income (PI)

200.307

Example of deductive PI

$100,000 → Total estimated funding from USAID

- $10,000 → PI generated and spent on the project

$90,000 → Reduced amount that USAID will provide

- PI generated and spent on the project reduces the amount USAID provides
- The project will have the $100,000 it needs to implement

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Program Income (PI)

200.307

Example of additive PI

$100,000 → Total estimated funding from USAID

+ $10,000 → PI generated and spent on the project

$110,000 → Combined amount of funds available

- PI generated and spent on the project does not affect the amount USAID provides

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Program Income

200.307

- After award is over, earned income is yours

Notes on default of use of program income:

- Default for US universities is **additive**
- Default for other US organizations is **deductive**

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Revision of Budget and Program Plans

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Revision of Budget, Program Plans

200.308.c

- Prior approval by Agreement Officer required for:
  - ✓ Change in scope, objectives
  - ✓ Key personnel change
  - ✓ Project Director absent 3 months or 25% time reduction
  - ✓ Cost Principles prior approval items
  - ✓ Participant support funds moved to other categories
  - ✓ To issue subawards
  - ✓ Changes to approved cost share
  - ✓ More funds needed from US Government

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Revision of Budget, Program Plans

200.308.e

- Prior approval by Agreement Officer required for:
  - Pre-award costs incurred
    - ✓ Up to 90 calendar days prior to award
  - One-time extension of the award
    - ✓ Up to 12 months
  - Carrying forward unspent funds to subsequent budget periods*

*Applicable to awards issued after November 12, 2020

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Revision of Budget, Program Plans

200.308. f & j

- USAID may, <u>at its option</u>
  - ✓ Restrict the transfer of funds between direct cost categories
  - ✓ If the total changes will exceed 10% of the total last approved award budget
- Applies only if stated in the award
- Agreement Officer required to respond on revision approvals within 30 calendar days

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Key Points

- It is a myth that prior approval is required for all budget revisions. Check your award to see what is required
- 200.308 specifies which budget and program plan revisions require AO prior approval
- Regular review of spending: actual vs. budget

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Question 3

Budget and program revisions

Your organization has a US$500,000 USAID cooperative agreement to conduct an HIV/AIDS civic education program in the three districts in the north of the country.

The Agreement Officer's Representative (AOR) told the Project Director to begin program activities next week in two more districts, for a total of five, and has promised additional funds.

Should the Project Director begin activities next week? Why or why not?

Reference: 2 CFR 200.308 Revision of budget and program plans

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Answer

Budget and program revisions

No, they should not begin activities next week.

The AOR is not authorized to approve changes to the program description or to approve more funds for the project. The AOR Designation Letter will specify which approvals the AOR can give, but only the Agreement Officer can approve changes to the program description or budget.

Costs for the new activities can be disallowed if the organization does not obtain required approvals from the appropriate person.

Reference: 2 CFR 200.308 Revision of budget and program plans

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Property Standards

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Insurance Coverage

200.310

- Minimum coverage should be same as that for the organization's property
- Use best business practices when making decisions about insurance

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Equipment

200.313.a

- Equipment definition
  - Useful life of more than 1 year and
  - Unit acquisition cost of more than $5,000 or organization's lower equipment threshold
- Title to equipment vests with the organization unless the award gives title to USAID or the host country government

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Equipment use

200.313.c

- Must be used for the project that purchased it as long as it is needed even if the project is no longer funded by the U.S. government
- During the award, may be used on other projects if not needed by the award that purchased it

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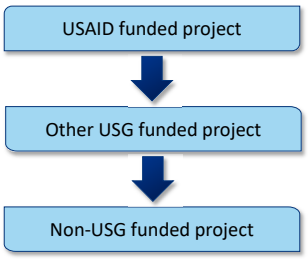
Equipment use

200.313.c

- Order of preference for use by other projects



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Inventory Management

200.313.d

- Property records must be maintained
- Physical inventory must be taken and reconciled at least once every 2 years
  - Organizational policy can require more frequent inventory
- Control system must be in place to safeguard against loss, damage, theft

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Inventory Management Sample Tracking Sheet

Inventory Tracker											
				Acquisition					Disposition		
Description	Serial/ID #	Funding source	Title	Date	Cost	Federal %	Location	Condition	Action	Date	Sale price
Mercedes generator	MB-999-999-999	USAID #88888	Recipient	mm/dd/yy	$18,934	100%	Kampala Office	Working		mm/dd/yy	
Toyota truck	T - 7777	USAID #88888	Recipient	mm/dd/yy	$38,799	100%	Kampala Office	Working		mm/dd/yy	

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Question 4

Equipment disposition

Under a USAID cooperative agreement for a malaria prevention and treatment project, the recipient purchased two items of equipment: a generator and a project vehicle.

At the end of the award, the recipient determines that it will continue to use the vehicle and the generator for its ongoing malaria work. The current fair market value of the vehicle is $7,500. The current fair market value of the generator is $3,200.

What steps should the recipient take to retain the vehicle and generator for its continuing work? Is USAID approval required?

Reference: 2 CFR 200.313(e)

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Answer

Equipment disposition

Unless the award says otherwise, title vests with the recipient. The organization can continue to use the generator and vehicle for as long as they are needed to support its malaria prevention and treatment program even if that work is no longer funded by USAID.

USAID approval is not required to do this. The organization should document in their files that they determined they will continue to need the equipment after the USAID award ends.

When the organization no longer needs the equipment, it should follow the disposition instructions in 200.313(e)(1)-(2).

Reference: 2 CFR 200.313(e)

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Supplies

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Supplies and Expendable Equipment

200.314

- Title vests with the organization
- At the end of the project:
  - Used supplies can be kept by the organization
  - More than $5,000 total of unused supplies
    - ✓Use in other USG projects with no compensation to USAID
    - ✓Sell or retain for own use and compensate USAID
- Document how the project valued the unused supplies

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Key Points – Property Standards

- Title to property vests with the organization unless the award says otherwise
- Property management system is required
- At closeout
  - Determine if equipment will continue to be used for its original purpose
  - Determine the value of unused supplies

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See you tomorrow

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